BINGET MICROFINANCE INSTITUTION S.C.

AUDITORS' REPORT AND ACCOUNTS

JUNE 30, 2025

ጌታቸው ዋቅጅራ

ቻርተርድ ሠርቲፋይድ አካውንታንት (ዮኬ)

ሠርቲፋይድ የኦዲት ድርጅት (ኢትዮ)

ስልክ 0115-15-78-06

ሞባይል 0911 -21-20-87

ፋክስ 251-011-552-05-80

ፖ.ሣ.ቁ. 40418

አዲስ አበባ፣ ኢትዮጲያ

Getachew Wakjira

Chartered Certified Accountant (U.K.)

Certified Audit Firm (Eth.)

TEL. 011-515 78 06

Mobile 0911- 21 20 87

FAX 251 - 011- 552 05 80

P.O. Box 40418

Addis Ababa, Ethiopia

E-mail getwak611@gmail.com

Binget Microfinance Institution S.C.
IFRS financial statements
For the year ended 30 June 2025
Corporate information

Company registration number
BL/AA/3/0027456/2014

License number
MFI/050/2022

Directors *(As of 30 June 2024)*

			Appointment Date
Ato	Biniyam Getu Tefera	Board of Director (Member)	*(November 2021)*
Ato	Mekbebe Zewdu G/Tsadik	Board of Director (Member)	*(November 2021)*
Ato	Chalachew Adege	Board of Director (Member)	*(November 2021)*
Ato	Asamnew Diriba Chala	Board of Director (Chair Person)	*(November 2021)*

Executive management *(As of 30 June 2024)*

			Appointment Date
Ato	Habtamu Debela Gillo	Chief Executive Officer (CEO)	*(April 2022)*
Ato	Mussie Alemayehu Ashenı	Finance and Administration Manger	*(July 2022)*
Ato	Getachew Adera Mohamm	Chief Internal Audit and Risk Managem	*(October 2023)*

Independent auditor

Getachew Wakjira chartered certified Accaountant (UK)
Addis Ababa, Kirkos Sub City, Woreda 09
Telephone 0911 21 20 87
Fax 251-115-520580
E-mail getwak611@gmail.com
Addis Ababa
Ethiopia

Corporate /Registered/ office

BINGET MICROFINANCE INSTITUTION S.C.
P.O Box 9013
Addis Ababa
Ethiopia

Principal Bankers
Commercial Bank of Ethiopia
Abyssinia Bank S.C
Awash Bank S.C
Cooperative bank of Oromia S.C
Debub Global Bank S.C
Bunna International Bank S.C

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Accounting and Auditing Board of Ethiopia
0118861296
0111541235

Binget Microfinance Institution S.C.

FOR THE YEAR END JUNE 30 2025

REPORT OF THE DIRECTORS

The directors submit their report together with the financial statements for the period ended 30 June 2024, to the members of Binget Micro Financing Institution S.C. This report discloses the financial performance and state of affairs of the Binget Micro Financing Institution S.C.

Incorporation and address

Binget Micro Financing Institution S.C was established on May, 2022 with authorized share capital of Birr 50,000,000.00 in 50,000 shares of Birr 1,000 per value each as per licensing and supervision of Micro Financing Institution proclamation No. 40/1996 and by the memorandum of association of the Company.

Principal activities

The Binget Micro Financing Institution S.C is principally engaged in the service to granting credit both in cash and in kind, accepting saving as well as demand and time deposits.

Results

The Binget Micro Financing Institution S.C results for the year ended 30 June 2024. The loss for the year has been transferred to retained earnings. The summarized results are presented below.

	30 June 2025 ETB	30 June 2024 ETB
Net operating income	4,743,028	943,707
Profit / (loss) before tax	(31,299,320)	(36,297,429)
Tax (charge) / credit	-	-
Profit / (loss) for the year	(31,299,320)	(36,297,429)
Other comprehensive profit / (loss) net of taxes	-	-
Total comprehensive profit / (loss) for the year	**(31,299,320)**	**(36,297,429)**

Directors

The directors who held office during the year and to the date of this report are set out

Ato Asaminew Diriba
Boa Board Chairperson
29-Oct-25

Ato Belete Workalemahu
Chief Executive Officer (CEO)
29-Oct-25

Addis Ababa Ethiopia
GETACHEW WAKIRA
CHARTERED CERTIFIED ACCOUNTANT
0118861296
0111541235

Binget Microfinance Institution S.C.
IFRS financial statements
For the year ended 30 June 2025
Statement of directors' responsibilities

In accordance with Microfinance Business Proclamation No. 626/2009, the National Bank of Ethiopia (NBE) may direct Microfinance to prepare financial statements in accordance with international financial Reporting standards, whether their designation changes or they are replaced, from time to time.

The Management is responsible for the preparation and fair presentation of these financial statements in conformity with accounting principles generally accepted in Ethiopia and in the manner required by the Commercial Code of Ethiopia of 2021, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Microfinance is required to keep such records as are necessary to:

a) exhibit clearly and correctly the state of its affairs;
b) explain its transactions and financial position; and
c) enable the National Bank to determine whether Microfinance had complied with the provisions of the Microfinance Business Proclamation and regulations and directives issued for the implementation the aforementioned Proclamation.

The Management accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards, Microfinance Business Proclamation, Commercial code of 2021 and the relevant Directives issued by the National Bank of Ethiopia.

The Management has an opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its profit or loss. The Management further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Signed on behalf of :

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT
CERTIFIED AUDIT FIRM (ET)

Ato Asaminew Diriba
Board Chairperson
29-Oct-25

Ato Belete Workalemahu
Chief Executive Officer (CEO)
29-Oct-25

Accounting and auditing Board of Ethiopia
0118861296
0111541235

ጌታቸው ዋቅጅራ
ቻርተርድ ሠርቲፋይድ አካውንታንት (ዩኬ)
ሠርቲፋይድ የኦዲት ድርጅት (ኢትዮ)

GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ETH)

Office 011- 515 78 06 - 011 -552 05 80
Mobile 0911- 21 20 87
Fax 251-011-552 05 80

P. o. Box 40418

Addis Ababa, Ethiopia

Ref. No. 187/GW/18

AUDITORS' REPORT TO THE

SHAREHOLDERS OF BINGET MICROFINANCE INSTITUTION S.C. ON THE ACCOUNTS OF BINGET MICROFINANCE INSTITUTION S.C.

OPINION

We have audited the accompanying financial statements of Binget Microfinance Institution S.C. which comprise statement financial position as at June 30, 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at June 30, 2025, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

We have no comments to make on the report of the Board of Directors' relating the financial matters and pursuant to Article 349 (2) of the Commercial Code of Ethiopia of 2021, we recommend that the accompanying financial statements be approved.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

0118861203
0111541235
Original Copy Submitted to the board

RESPONSIBILITY OF MANAGEMENT'S AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management of the Company is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

GETACHEW WAKJIRA

CHARTERED CERTIFIED ACCOUNTANT (UK)

CERTIFIED AUDIT FIRM (ETH)

Addis Ababa

October 22, 2025

Addis Ababa Ethiopia GETACHEW WAKJIRA CHARTERED CERTIFIED ACCOUNTANT (UK) CERTIFIED AUDIT FIRM (ET)

Binget Microfinance Institution S.C.

Statement of profit or loss and other comprehensive income

For the year ended 30 June 2025

	Notes	30 June 2025	30 June 2024
INCOME			
Interest Income	11	5,205,282	2,346,966
Interest Income from saving		955,069	14,064
Less:-Interest expense		(1,417,323)	(1,417,323)
Net interest income		**4,743,028**	**943,707**
Net fees and commission income	12	2,159,579	567,856
Total Operating Income		**6,902,607**	**1,511,563**
Less: Loan impairment charge	12b	(22,027)	0
Net operating income		**6,880,580**	**1,511,563**
General and Administrative expenses	13	38,201,927	37,808,992
		(38,201,927)	(37,808,992)
Net profit (Loss) of the Year		(31,299,320)	(36,297,429)
Opening Balance Adjustment		-	-
Retained earning Carried forward		(31,299,320)	(36,297,429)

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Ato Asaminew Diriba
Board Chairperson
29-Oct-25

Ato Belete Workalemahu
Chief Executive Officer (CEO)
29-Oct-25

Accounting and auditing Board of Ethiopia
0116861296
0111541235
Original Copy Submitted to the board

Binget Microfinance Institution S.C.
Statement of financial position
As at 30 June 2025

	Notes	30 June 2025 ETB	30 June 2024 ETB
ASSETS			
Cash and cash equivalents	4	24,323,329	6,361,224
Loan and advance	5	121,362,534	5,062,097
Trade and Other Receivables	6	1,801,843	98,904,218
Property ,Plant and Equipme	7	41,685,090	42,566,013
Total Assets		**189,172,795**	**152,893,553**
LIABILITIES			
Deposit from customers	8	117,598,118	35,640,106
Creditors and accruals	9	31,839,027	5,880,600
Deferred Service Charge	15	3,855,391	96,031
		153,292,535	**41,616,736**
Capital and Reserves			
Paid up Capital		106,140,000	56,100,000
Subscribed Capital		-	93,900,000
Retained Earning		(70,259,740)	(38,723,183)
Total Capital and Reserves		**35,880,260**	**111,276,817**
Total Liabilities and Capital		**189,172,795**	**152,893,553**

Addis Ababa Ethiopia
GETACHEW WAKJIRA CERTIFIED ACCOUNTANT CERTIFIED AUDIT FIRM (ET)

Ato Asaminew Diriba
Board Chairperson
29-Oct-25

Ato Belete Workalemahu
Chief Executive Officer (CEO)
29-Oct-25

Accounting and auditing Board of Ethiopia
0118861296
0111541235
Original Copy Submitted to the board

Binget Microfinance Institution S.C.
Statement of Changes in Equity
For the year ended 30 June 2025

	Paid Up Capital ETB	Capital Commitment ETB	Retained Earning ETB	Total ETB
Balance as at 01 July 2022	20,000,000	-	1,150,213	21,150,213
Capital Increment	30,000,000	-		30,000,000
Profit (loss) for the year	-	-	(3,354,428)	(3,354,428)
Transfred to retained earning IFRS	-	-	189,717	189,717
Balance as at 30 June 2023	50,000,000	-	(2,014,498)	47,985,502
Balance as at 01 July 2023	50,000,000	-	(2,014,498)	47,985,502
Capital Increment in Cash	6,100,000	-		6,100,000
Subscribed Share (93,900 share for 1,000 par valu	-	93,900,000		93,900,000
Profit (loss) for the year		-	(36,297,429)	(36,297,429)
Transfred to retained earning IFRS	-	-	(411,256)	(411,256)
Balance as at 30 June 2024	56,100,000	93,900,000	(38,723,183)	111,276,817
Balance as at 01 July 2024	56,100,000	93,900,000	(38,723,183)	111,276,817
Capital Increment in Cash	50,040,000	-		50,040,000
Subscribed Share (93,900 share for 1,000 par valu	-	(93,900,000)		(93,900,000)
Profit (loss) for the year		-	(31,299,320)	(31,299,320)
Transfred to retained earning IFRS	-	-	(237,237)	(237,237)
Balance as at 30 June 2025	106,140,000	-	(70,259,740)	35,880,260

Ato Asaminew Diriba
Board Chairperson

Ato Belete Workalemahu
Chief Executive Officer (CEO)

Binget Microfinance Institution S.C.
Statement of Cash Flow
For the year ended 30 June 2025

	Jun-25 ETB	Jun-24 ETB
Cash inflow From Operating Activities		
Profit (loss) Before Tax	**(31,299,320)**	**(36,297,429)**
Adjustments for non-cash items:		
Depreciation of property, plant and equipment	1,248,288	890,672
Subscribed Capital Written of	(93,000,000)	-
Prior Year Adjustment	(900,000)	(411,256)
	(123,951,032)	**(35,818,013)**
Net cash inflow from Operating Activities		
(Increase) decrease in Loan and advance	(116,300,437)	7,762,443
(Increase) decrease in receivable	97,102,376	(3,072,983)
(Increase) decrease in Office supplies	-	-
(Decrease) Increase in Deposit from customers	81,958,012	29,736,482
(Decrease) Increase in Creditors and accruals	29,717,787	5,440,180
(Decrease) Increase in inter account transfers	(158,449)	-
Cash flow from operating activities	**92,319,288**	**39,866,122**
Net Cash inflow from operating activities	**(31,631,744)**	**4,048,109**
Cash inflow From Investing Activities		
Acquisition of PPE	(446,151)	(6,320,897)
Net Cash inflow From Investing Activities	**(446,151)**	**(6,320,897)**
Cash inflow From Financing Activities		
Increase in Capital	50,040,000	6,100,000
Net Cash inflow From Financing Activities	**50,040,000**	**6,100,000**
Net Increase in Cash and Cash Equivalent	**17,962,105**	**3,827,212**
Cash and Cash Equivalent at the Beginning of the yea	**6,361,224**	**2,534,012**
Cash and Cash Equivalent at the end of the year	**24,323,329**	**6,361,224**

Ato Asaminew Diriba
Board Chairperson
29-Oct-25

Ato Belete Workalemahu
Chief Executive Officer (CEO)
29-Oct-25

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT
CERTIFIED AUDIT FIRM

Accounting and auditing Board of Ethiopia
0118861296
0111541235
Original Copy Submited to the board

1 General information

Binget Microfiance was established in the year 2022 G.C as a "Share Company" under the Commercial Code of Ethiopia and licensed by the National Bank of Ethiopia as a "Microfinance Institution" under Proclamation No. 626/2009, issued for licensing and supervision of micro-finance institutions. BMFI's registration office is at :

Binget Microfinance Institution S.C
Fax. No.
Email:
Bingetmicrofinance
P O Box 9013

Addis Ababa, Ethiopia

The objective of BMFI is to Serving the un-served segment of the market with a demand-driven financial service.

2 Summary of significant accounting policies
Introduction to summary of significant accounting policies

2.1 The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.2 Basis of preparation

The financial statements for the period ended 30 June 2025 have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB"). Additional information required by National regulations is included where appropriate.
The financial statements comprise the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity, the statement of cash flows and the notes to the financial statements.

The financial statements for the period ended 30 June 2025 BMFI has prepared in accordance with IFRS. Refer to note 29 and 30 for information on how BMFI adopted IFRS.

The financial statements have been prepared in accordance with the going concern principle under the historical cost concept and faire value. All values are rounded to the nearest one birr, except when otherwise indicated. The financial statements are presented in rounded to the nearest Ethiopian one Birr (Birr' 1).
The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying BMFI's accounting policies. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. Management believes that the underlying assumptions are appropriate and that BMFI financial statements therefore present the financial position and results fairly. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Addis Ababa
Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

0118861296
0111541235

Binget Microfinance Institution S.C.
Notes to the financial statements
For the year ended 30 June 2025

4	**Cash and Cash Equivalents**	**30 June 2025 ETB**	**30 June 2024 ETB**
	Cash and Cash Equivalents as at June 30, 2025 and 2024 can be presented below		
	Cash on hand local currencies	800,000	0
	Cash at bank local currencies	24,323,329	6,361,224
		25,123,329	**6,361,224**

5	**Loan and Advance to Customer and Staff**	**30 June 2025 ETB**	**30 June 2024 ETB**
	Individual Business loan - Loan Receivable	120,267,699	4,940,417
	Staff Loan	1,116,861	121,680
	Less:-Provision for Loan	(22,027)	-
		121,362,534	**5,062,097**

Collective allowance for impairment	**As at June 30, 2025 Birr'**	**Charge for the year Birr'**	**As at June 30, 2024 Birr'**
Impairment Loss	22,027	22,027	-
Impairment Loss IFRS			
	22,027	**22,027**	**-**

6	**Debtors and Prepayment**	**30 June 2025 ETB**	**30 June 2024 ETB**
	Trade and Other Receivables	1,801,843	5,004,218
	Shareholder Receivable	-	93,900,000
		-	-
		1,801,843	**98,904,218**

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Accounting and auditing Board of Ethiopia
0118861286
0111541235
Original Copy Submitted to the board

Binget Microfinance Institution S.C.
Notes to the financial statements
For the year ended 30 June 2025

7 Property, plant and equipm	Furniture, Fixture and Fittings	Vehicle	Mobfin Software	Computer and Accessories	Office Equipment	Total
	ETB	ETB	ETB	ETB	ETB	ETB
Cost:						
As at 1 July 2023	1,859,007	4,603,820	29,236,436	1,159,763	501,670	**37,360,695**
Additions	1,497,252		259,712	2,146,785	2,417,148	**6,320,897**
Disposal/Adjustment						
As at 30 June 2024	**3,356,259**	**4,603,820**	**29,496,148**	**3,306,548**	**2,918,818**	**43,681,592**
As at 1 July 2024	3,356,259	4,603,820	29,496,148	3,306,548	2,918,818	**43,681,592**
Additions	142,837			92,554	131,974	**367,364**
Disposal/Adjustment						
As at 30 June 2025	**3,499,095**	**4,603,820**	**29,496,148**	**3,399,101**	**3,050,792**	**44,048,957**
Accumulated depreciation						
As at 1 July 2023	**85,737**	**51,026**	-	**54,798**	**33,346**	**224,907**
Charge for the year	261,929	291,576	-	241,592	95,576	**890,672.02**
Disposal/Adjustment	-	-	-	-	-	-
As at 30 June 2024	**347,666**	**342,602**	-	**296,390**	**128,922**	**1,115,579**
As at 1 July 2024	**347,666**	**342,602**	-	**296,390**	**128,922**	**1,115,579**
Charge for the year	336,337	291,575	-	330,212	290,164	**1,248,288**
Disposal/Adjustment	-	-	-	-	-	-
As at 30 June 2025	**684,003**	**634,177**	-	**626,601**	**419,086**	**2,363,867**
Net book value						
As at 30 June 2023	**1,773,269**	**4,552,794**	**29,236,436**	**1,104,965**	**468,324**	**37,135,788**
As at 30 June 2024	**3,008,593**	**4,261,218**	**29,496,148**	**3,010,158**	**2,789,896**	**42,566,013**
As at 30 June 2025	**2,815,092.49**	**3,969,643.18**	############	**2,772,500.09**	**2,631,706.27**	**41,685,090**

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Accounting and Auditing Board of Ethiopia
ቁ.6
0118861296
0111541235
Original Copy Submitted to the board

Binget Microfinance Institution S.C.
Notes to the financial statements
For the year ended 30 June 2025

		30 June 2025 ETB	30 June 2024 ETB
8	**Deposit from customers**		
	Saving Deposit Compulsory	117,598,118	35,640,106
		117,598,118	**35,640,106**

		30 June 2025 ETB	30 June 2024 ETB
9	**Creditors and accruals**		
	Trade and Other Payables	22,201,351	5,034,562
	Short term Loan	9,274,442	-
	Accrued Employee Benefit	363,234	846,038
		31,839,027	**5,880,602**

		30 June 2025 ETB	30 June 2024 ETB
10	**Employee benefits**		
	Change for the current year		
	Balance Brought forward	846,038	169,362
	Current period charges	-	810,657
	Settlement during the year	(485,592)	(133,982)
		360,445	**846,038**
	10.1 Reported under Statement of Financial Position		
	Accrued annual leave payable	363,234	846,038
	Accrued severance payable	-	-
		363,234	**846,038**

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Accounting and auditing Board of Ethiopia
ቅ.6
0118861299
0111541235
Original Copy Submitted to the board

Binget MICRO FINANCING INSTITUTION S.C
Notes to the financial statements
For the year ended 30 June 2025

	30 June 2025 ETB	30 June 2024 ETB
11 Revenue		
Interest Income from Loan	5,205,282	2,346,966
Interest Income from saving	955,069	14,064
Interest Expense on saving	(1,417,322.77)	(1,417,322.77)
	4,743,027.72	**943,707.08**
12 Net fees and commission income		
Service charge (12.a.)	-301,671	370,917
Sales of Etop-up commission	288,425	47,180
Registration Fee	1,636,970	-
Penalty and Other Income	509,636	149,609
Income from sales of pass book	26,220	150
	2,159,579.05	**567,855.64**
Net Revenue	**6,902,606.77**	**1,511,562.72**
12.a Service Charges on the loans granted	3,730,074.49	55,691.17
Less: Unearned Service Charges realized during the year	(4,031,745.90)	315,225.72
Service Charges Earned	**(301,671.41)**	**(259,534.55)**
12b Loan Impairment Charge		
Loan Loss as per GAAP	22,027	-
Impairment recovery	-	-
Loans written off	1,681,988	-
	1,704,014	**-**

	30 June 2025 ETB	30 June 2024 ETB
13 General and Administrative expenses		
Salary and Other Benefit Expense Note 13.a	20,856,138	20,029,798
Advertising and promotion	582,531	1,718,390
Transportation	737,801	895,777
License and registration fees	128,202	224,031
Stationary printing and photocopy	256,821	1,392,350
Professional fee	48,300	27,135
Depreciation expense	1,263,682	890,672
Bank Service charges	248,924	339,689
Miscellaneous Expense	58,039	186,241
Vehicle running cost (Fuel and Lubricants)	360,324	478,211
Refreshment Expense	185,312	201,455
Telephone&Internet Expense	1,464,168	1,000,172
perdiem	224,553	311,203
Legal fee and Fine	203,501	9,646
Loading unloading /Wage/ Expense	143,452	253,769
Membership	-	
Repaid and maintenance expense	16,503	30,230
Insurance Expense	182,982	106,939
Training Expense	65,940	168,133
Office Supplies Expense	108,068	273,706
Postage & Post office box rent	300	555
Office Rent Expense	7,742,992	4,946,963
Branch Establishment Expense	-	68,210
Utilities Expense	233,963	42,292
Binget/Binget Birr cost	3,089,432	4,213,424
	-	-

Accounting and Auditing Board of Ethiopia
ቁ.6
0118861266
0111541235
Original Copy Submitted to the board

Addis Ababa
Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (U.K)
CERTIFIED AUDIT FIRM (ET)

Binget MICRO FINANCING INSTITUTION S.C
Notes to the financial statements
For the year ended 30 June 2025

13.a Salary and Other Employees Benefits

Salary and Other Benefit Expense	20,579,461	20,029,798
Interest Income waived for staff	(86,557)	-
Severance Expenses (10.a)	363,234	-
	20,856,138	**20,029,798**

14 Impact of IFRS Adjustment

Interest Income waived for staff loan	(86,556.71)	10,109.61
Loss on Derecognition of PPE	446,151.22	21,990.95
Annual Leave As per GAAP	(485,592.07)	-
Annual Leave adjustment	363,234.19	846,037.51
	237,236.63	**878,138.07**

BMFI as adopter of IFRS, is selecting reconstruction of the the property, plant and equipment based on the revised useful life at the first date of adopting IFRS , June 30, 2023. Accordingly while revaluing the existing GAAP historical accumulated depreciation and book values are remeasured, and the difference is accounted to the IFRS Adjustment Reserve balance, which is considered as other component of equity. The IFRS Adjustment Reserve account is used to depict the chnages effected due to the adoption of IFRS standards.

15 Deferred Service Charges

	June 30, 2025 Birr	June 30, 2024 Birr
Unearned Service Charges on Loans Granted	3,935,715	96,031
Less: Unearned Service Charges realized during the year	(80,325)	
Service Charges Earned	(3,730,074)	
	125,317	**96,031**

Addis Ababa Ethiopia
GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ET)

Accounting and auditing Board of Ethiopia
0116861299
0111541235
Original Copy Submitted to the board